HBA PROGRAM: Finance

BUSINESS 3303

Professor: Sherry Xue	Assistant: Vanessa Sage
Office: 3351	Office: 3350-1
E-mail: sxue@ivey.ca	Email: vsage@ivey.ca

LAND ACKNOWLEDGEMENT

Western University is situated on the traditional lands of the Anishinaabek, Haudenosaunee, Lunaapewak, and Chonnonton Nations, who have long-standing relationships to the land and region of southwestern Ontario and the city of London. The local First Nations communities are the Chippewas of the Thames First Nation, the Oneida Nation of the Thames, and the Munsee Delaware Nation.

INTRODUCTION

This is an introductory finance course that addresses the key decisions and issues faced by senior financial officers in corporations, and provides the analytical frameworks and approaches that are employed to resolve these issues. The course has three major objectives:

- To provide an introduction to financial markets and sources of capital for firms.
- To introduce strategic financial policies set by senior financial managers and show how these policies affect an organization's ability to meet its strategic objectives.
- To demonstrate analytical tools used to value an organization and to show how specific activities undertaken by a company create or destroy its value.

The overarching goal is to ensure all students, regardless of career aspirations, gain an appreciation for the financial issues facing all organizations and the analytical tools that are useful in addressing these issues.

The course is segmented into modules that highlight the primary decision-making areas faced by financial managers. An inherent part of the course is the integration and application of frameworks developed in other courses in the HBA1 curriculum. The major modules in this course are:

1. Time value of money
2. Introduction to financial markets, securities, and alternatives for raising capital
3. Determination of an optimal capital structure
4. Estimation of the cost of capital
5. Valuing long-term investments and businesses

LEARNING OUTCOMES

At the end of the *time value of money* module, students will be able to:

- Explain the concept of time value of money, calculate present and future values for different cash flow patterns, and interpret the impact of compounding frequency and interest rate conventions.

At the end of the *introduction to financial markets, securities, and alternatives for raising capital* module, students will be able to:

- Identify differences between types of financial securities and explain how these differences should affect the desirability of securities from the perspective of organizations (issuers) and investors.
- Describe the pattern of promised cash flows arising to investors from debt and equity securities and compute their discounted present values.

At the end of the *determination of an optimal capital structure* module, students will be able to:

- Identify key capital structure decision-making criteria emerging from Modigliani and Miller's theory and evaluate alternative capital structures against those criteria.
- Apply scenario analysis to determine the impact of different financing alternatives on an organization's risk and return.

At the end of the *estimation of the cost of capital* module, students will be able to:

- Measure investment risk and identify how diversification reduces risk.
- Compute the cost of capital for an organization and its divisions.
- Assess how the cost of capital is affected by changes to an organization's capital structure.

At the end of the *valuing long-term investments and businesses* module students will be able to:

- Apply judgment in determining forecasts of cash flows for an organization and be able to use these forecasts to compute an organization's enterprise value.
- Assess the comparability of firms for valuation purposes, identify appropriate valuation ratios to apply to different firms and settings, and then determine the value of an organization using these ratios and comparable firms.
- Analyze the impact of corporate and financial policy decisions on an organization's value.

Throughout the course, students will be able to articulate analyses and rationale for recommendations during class discussions, and in written examinations and reports. Finally, assessing and controlling risks will be a recurring theme throughout the course.

MATERIALS

1. **Case package** (digital casebook) 3303 - compilation of cases and readings. ***Required.***
2. Foerster, Stephen R., and Felipe Restrepo. **Fundamentals of Finance: Concepts and Applications. 2025.** ***Required.*** Fundamentals of Finance: Concepts and Applications: Foerster, Stephen R., Restrepo, Felipe: 9781069598400: Books - Amazon.ca

GRADING COMPONENT SCHEME

We strive to evaluate all available information in order to calculate a final grade that fairly reflects the student's demonstrated capability in understanding and applying the course content. Evidence of this capability comes through classroom contribution, examinations, reports and other evaluation tools that may be used throughout the course.

The grade in this course is a composite of class contribution, a midterm exam and a final exam. I will assign your grades for written and non-written work based on the following:

Class Contribution	30%
Midterm Exam	30%
Final Exam	40%
Total	100%

Each component of your evaluation in this course will be assigned a percentage grade. Your final grade will be a weighted average of each of the components. Requirements for progression and graduation are provided to you separately by the HBA Program Office.

MIDTERM EXAM

The midterm exam is scheduled for October 22, 2025. The material covered will include the contents up to the end of the capital structure module.

FINAL EXAM

The final exam is scheduled for December 12, 2025. The material covered will include all contents up to the end of the course.

EXAMS AND MAKEUP EXAM POLICY – HBA

Fairness, Preparedness, and Academic Continuity

At Ivey, exams are more than assessments—they are reflections of professional readiness and academic growth. This policy upholds our values of Integrity, Courage, Inclusivity, and Community, and outlines a fair, transparent process for accessing makeup exams when unexpected challenges arise.

Policy Statement

Examinations are a core component of academic evaluation and professional development. Students are expected to treat exam schedules with the same seriousness as professional obligations.

In exceptional circumstances, students may request academic consideration in accordance with the **Academic Consideration Policy**.

Academic Consideration for Missed Exams

- Students must **formally request academic consideration** as soon as possible—ideally before the scheduled exam.
- Requests must be **supported by appropriate documentation** and submitted within **48 hours** of the missed exam.
- Students should communicate **proactively** with their Academic Advisor to clarify requirements and access support.

Makeup Exam Policy

- Students **granted academic consideration** will be offered **one official makeup exam opportunity**.
- The makeup exam will be scheduled within the **same academic term**, where possible.
- Students must prepare fully and approach the makeup with professional responsibility.
- **Missing the makeup exam** will result in **unsatisfactory academic standing**.
- A **second makeup exam** will be authorized **only at the Dean's discretion** after a formal review.
- Unsatisfactory standing will **remain in effect** until the review is complete and lifted only if the second makeup is granted and passe

CLASS CONTRIBUTION & ATTENDANCE

Attendance Policy

Fostering Personal Responsibility and Engagement Through Community Learning

This policy reflects Ivey's shared values of Integrity, Courage, Inclusivity, and Community. Attendance is more than a rule – it is a commitment to collaborative learning, shared accountability, and personal growth. In a case-based environment, presence and engagement are essential to both individual success and community learning.

Students are expected to attend all scheduled classes and participate meaningfully, demonstrated through respect for classmates and instructors. Consistent, respectful engagement is a critical part of professional conduct and directly supports learning and progression.

Attendance Expectations:

- Attendance is mandatory in most courses and detailed on the syllabus
- Students who miss more than five (5) 80-minute sessions may:
    - be placed in unsatisfactory standing
    - be ineligible to write final exams or assessments, regardless of academic consideration
- All absences – including those granted academic consideration – count toward the total, **except for absences due to religious observance**.
- Students nearing the 5-class absence threshold will receive email notification from their faculty, with their Academic Advisor copied. Students are encouraged to seek support.
- Students who reach 50% of the threshold before or by reading break will be enrolled in a learning strategies course at the discretion of the Faculty Director and Director of Culture, Inclusion, Student Support and Engagement.

Incomplete Attendance (e.g. lates)

- '**Late is Late'** – students arriving after discussion has begun, or who depart class before discussion has finished will be counted 'late'. Students will receive a contribution deduction (-1 point or 0 for the day)
- At the discretion of the Instructor, students who leave and return to class may not be invited into later discussion. These students have missed important sections of discussion and their comments may replay points made while they were out of class. To the extent possible, please use time between classes for breaks, calls, and other activities.
- Departing class and returning with food or beverages may be counted as disruptive/disrespectful behaviours.
- Students who miss more than 20 minutes of any class period should be counted as being absent.

ACADEMIC CONSIDERATION POLICY

Supporting Academic Success Through Personal Accountability and Collaborative Care

At Ivey, we recognize that personal and academic challenges may arise unexpectedly. This policy provides a fair, timely, and compassionate process for academic consideration—rooted in our values of Integrity, Courage, Inclusivity, and Community. It supports student well-being while maintaining academic standards.

Scope

This policy applies when a student:

- Misses a **non-contribution-based graded component** (e.g., exam, assignment, in-class test, group work) due to unforeseen illness or life events.
- Misses a component due to **Varsity or Case competition participation**, or **religious observance**.
- Experiences an **extended absence** impacting academic engagement.

Valid Grounds for Consideration

- **Catastrophic Events** – Bereavement, major accidents, etc.
- **Illness (Physical or Mental Health)** – Including chronic, acute, or temporary conditions.
- **Religious Observance** – Conflicting with academic obligations.
- **Varsity Commitments or Ivey Case Competitions** that conflict with assessments.

Important Notes

- All absences—including those with academic consideration—count toward total missed classes, **except religious observance**.
- Students nearing the 5-class threshold will be notified by faculty and copied to their Academic Advisor.
- Students who reach 50% of the threshold by reading break will be added to a learning strategies course at the discretion of the Faculty Director and Director of Culture, Inclusion, Student Support and Engagement.
- **Excessive absences may lead to unsatisfactory academic standing**, even with academic consideration.

Submission Process

Step	Action	Who	Deadline
1	Report absence (Varsity/Religious) via LEARN & submit form/documentation	Student	≥10 days before event Students must submit supporting documentation with this request 10 days

			prior to the planned varsity event or Religious Observance.
2	Report absence (Illness/Catastrophe) via LEARN + Western Medical Documentation Form	Student	Within 48* hours of absence *A Western Medical Certificate needs to be obtained as soon as the student becomes ill, substantiating why the student was medically unfit to attend class on the assessment date.
3	Review & Verification	Academic Advisor	Within 3 business days
4	Receive Decision	Student	Upon completion of review

Community and Growth

Academic challenges are part of learning. This policy supports fairness while encouraging resilience, self-advocacy, and collaboration between students, faculty, and advisors.

Student Policy Responsibility Table

Scenario	Action
Illness or emergency?	Submit a request in LEARN within 48 hours
Varsity conflict or religious event?	Submit documentation in LEARN 10+ days in advance
Have questions?	Contact an Academic Advisor
Disagree with a decision?	Speak to an Academic Advisor for further step

CONTRIBUTION

The following list might be of help regarding expectations in terms of contribution:

Outstanding Contribution (90-100%)

- Contributes at the highest levels throughout the class;
- Contributions indicate thorough preparation;
- Contributions reflect careful attention to the ongoing discussion;
- Contributions include strong follow-up comments and questions;
- Helps integrate course concepts with other subjects;

- Frequently explains difficult points or concepts;
- Provides sustained strong support to enrich classroom learning;
- Builds and develops outstanding arguments for a position;
- Arguments include strong, valid, and relevant evidence.

Excellent Contribution (80-89%)

- Contributes frequently to discussions;
- Contributions indicate careful preparation;
- Contributions reflect attention to and consideration of the ongoing discussion;
- Explains difficult points and concepts;
- Helps guide class discussions;
- Regularly builds and develops strong arguments for a position;
- Arguments include strong evidence.

Good Contribution (70-79%)

- Contributes fairly regularly to discussions, but primarily in the beginning of the class;
- Contributions indicate consistent preparation;
- Contributions reflect thoughtful responses to the ongoing discussions;
- Raises questions that help focus on difficult points or concepts;
- Occasionally builds reasonable arguments for a position;
- Arguments sometimes include valid evidence.

Fair Contribution (60-69%)

- Contributes irregularly to class discussions;
- Gives occasional indication of preparation;
- Rarely builds on the ongoing discussion;
- Positions rarely supported by valid evidence.

Poor Contribution (50-59%)

- Contributes rarely to discussions;
- Gives little indication of preparation and thought;
- Contributions confuse statements of opinion with statements of fact;
- Does not aid in providing a positive atmosphere for meaningful discussion.

Unsatisfactory Contribution (0-49%)

- Actively inhibits or impedes the course of class discussions;
- Misses a number of class sessions;
- Disruptive or unprofessional behaviour.

GROUP ASSIGNMENTS

Students completing group assignments (e.g., 30-hour reports, 48-hour reports, group reports, team assignments) will receive the same grade as their group members for the same submission, with the exception of the impact, if any, of peer evaluation (discussed below). Students are expected to contribute substantially to group work. Every student understands that all group members are equally responsible for the entire project unless otherwise indicated by the professor. If an individual(s) has not contributed substantially to the group's work, the student in question may be severed from the group and receive a grade independent from the group. The faculty reserves the right to assign a failing grade to any student who has not substantially contributed to the group.

Eighty-five percent (85%) of your group assignment grade will be based on the group grade; the remaining 15% will be based on your peer's assessment of your contribution to the assignment. Instructions are as follows. The total number of points to be allocated among your group members is equal to ten points per group member excluding yourself. For example, if there are 6 members in your group including yourself, your total must add to 50. You cannot allocate any points to yourself. (Note that for a group of two, the participants should jointly agree on an allocation of 20 points across the two group members. If an agreement can't be reached then each group member should send a note to the course instructor with their suggested allocation and reasoning, and the course instructor will decide on the allocation.)

If all group members' performance met expectations and contributed approximately equally, an even allocation of 10 points per group member is anticipated. Note that the purpose of peer evaluation is not to assess your group member's knowledge of the subject but rather to assess their cooperativeness and sense of responsibility to the group. Some reasons to allocate more than 10 points to a group member include the following: worked significantly more hours than others; contributed most important ideas; played a major role in resolving team disputes. Some reasons to allocate fewer than 10 points to a team member include the following: worked significantly fewer hours than others/ was not available for group meetings; contributed few ideas; played a disruptive role making it difficult for group work to move forward.

All allocations that are other than "10" must be accompanied by an explanation, in particular including examples of specific behaviours that resulted in any decreased evaluation. Please note that the recipient participant will have the opportunity to review the reasons for their evaluations so your comments should be constructive in nature ONLY.

In extreme cases, where it appears that a group member has contributed substantially less than others in the group, the course instructor has the right to seek more information from each group member. As well, the inadequate contribution to the activity may result in the course instructor determining that the student has not completed the activity and repercussions may include (but

are not limited to) requiring that student to do a make-up assignment/activity or a grade of zero for the specific report/activity.

In addition, if the course instructor believes that the peer evaluation process has not been completed in a fair manner, the course instructor reserves the right to disregard the submitted evaluations and make a final evaluation of the activity without the peer input. Note that the course instructor may apply a penalty to those involved in submitting unfair evaluations.

CLASSROOM NORMS & VALUES

In our Ivey classrooms, our values guide our decision-making and support our continuous pursuit of excellence:

INTEGRITY
We expect honesty and accountability in our actions and decisions, seeking to inspire ethical and responsible leadership.

INCLUSIVITY
We respect diversity of thought, identity, and perspective, recognizing that inclusive communities foster innovation and creativity.

COMMUNITY
We see strength in positive and supportive interactions, take pride in our collective accomplishments, and have confidence in our long-term success.

COURAGE
We pursue ambitious goals through our commitment to academic and research excellence and believe that, through an entrepreneurial spirit and capacity to act, we can achieve meaningful outcomes locally and globally.

Practicing these values will help foster a community where members contribute to a supportive, inclusive, and accountable culture that pursues excellence, is aligned with our values, and is nurtured through curiosity, respect, mentorship, and recognition.

EXPECTATIONS FOR PARTICIPATING IN OUR LEARNING ENVIRONMENT:

Attendance: Please review Ivey's Attendance and Contribution policy.

Punctuality: Late arrival to class is distracting for faculty and students and detracts from our learning environment. Class times are posted well in advance and available through your course tiles on Learn. Please plan ahead and know when your class is in session. To the extent possible, use time outside of class for other activities (breaks, washrooms, calls, etc.).

Technology in the classroom: In the first session of each course, your professor will establish guidelines and expectations for technology use in their course. Given the differences in course content, delivery and application, technology use will vary between courses. You may observe

differences in how your classmates engage with, or access technology in the classroom, from yourself. This is because we understand that to have open and accessible classroom spaces, we may need to proactively accommodate students diverse learning needs through access to technology. Accommodations for learning differences support equity in our learning environments, so that students can engage, make sense of and contribute in our classroom spaces. For students who require access to learning accommodations related to technology use, please contact Western's Accessible Education team (http://academicsupport.uwo.ca/accessible_education/index.html).

Respect for our academic community: Please note that video or audio recording of classes, guest presentations, events, and other academic activities is strictly prohibited without express written permission of your faculty or Program Services office (in instances outside of your course).

ACADEMIC OFFENSES

Scholastic offenses are taken seriously and students are expected to read the appropriate policies at:

https://www.uwo.ca/univsec/pdf/academic_policies/appeals/scholastic_discipline_undergrad.pdf

CODE OF CONDUCT POLICIES

- Western Code of Student Conduct: http://www.uwo.ca/univsec/pdf/board/code.pdf
- Ivey Student Code of Professional Conduct located in the Student Handbook.
- Western Non-Discrimination/Harassment Policy: https://www.uwo.ca/univsec/pdf/policies_procedures/section1/mapp135.pdf
- The Code of Behavior for Use of Computer Resources and Corporate Data: https://www.uwo.ca/univsec/pdf/policies_procedures/section1/mapp113.pdf

PLAGIARISM

Students must write their essays and assignments (at Ivey this includes case exams and reports) in their own words. Whenever students take an idea, or a passage from another author, they must acknowledge their debt both by using quotation marks where appropriate and by proper referencing such as footnotes or citations. Plagiarism is a major academic offence.

All required papers (at Ivey this includes case exams and reports) may be subject to submission for textual similarity review to the commercial plagiarism detection software under license to the University for the detection of plagiarism. All papers submitted will be included as source documents in the reference database for the purpose of detecting plagiarism of papers subsequently submitted to the system. Use of the service is subject to the licensing agreement, currently between Western University and Turnitin.com (www.turnitin.com).

PROHIBITED INFORMATION

Unless explicit instructions are received from your instructor to the contrary, your preparation must be limited to the information provided by your instructor(s), plus your own experience and that of your class peers. Class contributions should be based exclusively on your preparation and

discussions with members of your learning team or section classmates, and not augmented with information obtained anywhere else. Information related to cases that have been obtained from sources other than your instructor in paper, electronic or verbal form is not permitted to be used for class contribution purposes. Such prohibited information includes, but is not limited to, the following:

- Hand-outs, including follow-on ("B") cases
- Exam or report feedback (related to a particular case) for other students or provided in other sections or years
- Notes, spreadsheets, etc. specific to cases (obtained before the case has been taught) prepared by students in other sections or years
- Company information that is not provided in the case (and that is not derived from your own experience)
- Teaching notes

If it is determined that such prohibited information is used in class discussions, such an incident will be deemed to be a violation of Ivey's Student Code of Professional Conduct.

Notes on Use of AI or Other Technology Assistance

Our goal is to cultivate your judgment and wisdom in decision-making and ability to apply knowledge to practical situations. Using generative AI tools can be beneficial for your learning, providing synthesis of vast amounts of information, of helping explore new ideas, and analyzing data efficiently. However, over-reliance on AI, substituting it for your own critical thinking and cognitive effort, will hinder your ability to develop analytical skills, interpret and evaluate the quality of analyses, regardless of whether that analysis is human- or AI-generated.

Our expectations are designed to foster good practices that effectively integrate available tools without being replaced by them, ensuring you develop the essential judgment needed in an increasingly complex world. To be business leaders in the future, we expect that you will use tools available to you in an ethical and thoughtful manner.

To this end, we have the following expectations:

Preparation

1. You should read cases and develop answers to assignment questions without the use of AI. This effort will help you develop analytical abilities that are critical to effective decision making. Following individual preparation, you may engage in learning teams discussions to further your understanding and analysis of the material. Your instructor may also recommend AI tools to further augment your preparation.

2. You should respect the intellectual property rights of copyright holders and not upload copyrighted material without permission to any site.

In-Class

3. In general, use of technology devices in class is not allowed. Some courses may allow the use of technology for specific activities. Using technology when not allowed will negatively affect your contribution grade.

4. Using AI tools in a class session is expressly prohibited and an academic integrity violation as part of the class contribution requirement. An instructor may make an explicit exception to this rule.

Written Work

5. For submitted written work, be clear to acknowledge AI usage explicitly. For simplicity, we consider AI tools to be an external expert who has been consulted by you. In most citation methods, this citation is done as a personal communication or as a footnote at the start of the work that explains the usage.

6. You are welcome to use AI tools for background research. However, the final product should represent your own synthesis of the ideas and must be written in your own words. In a group assignment, the group is collectively responsible for the submission. You are responsible for any plagiarism.

HEALTH AND WELLNESS SERVICES

As part of a successful student experience at Western, we encourage students to prioritize their health and wellness. Western provides several on-campus services to help you achieve optimum health and engage in healthy living while pursuing your degree.

Students seeking help regarding mental health concerns are advised to speak to someone they feel comfortable confiding in, such as a faculty member, the Faculty Program Director, or the HBA Program Services team. Students who are in emotional and/or mental distress should also refer to Mental Health@Western http://uwo.ca/health/mental_wellbeing for a complete list of options on how to obtain help.

OFFICE HOURS/APPOINTMENTS

Each faculty member will provide guidance on their weekly office hours; communicated in class, via Learn (or Insendi) or via email.